

ENGLISH **LIVE**

27

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 27

3rd MARCH, 2017

Nurturing 21st century enterprises

The nature of the enterprise is undergoing a tectonic shift, a 'disruption' in start-up speak



The Union government is putting together a few programmes to help support Indian entrepreneurs of the future. Photo: Prashant Prasad/Reuters

The 20th century was the era of the large corporations. It can be argued that the growth of the market economies of the West, and in recent decades the Asian Tigers and China, was closely correlated with, if not driven by, the growth of their business houses. Conglomerates such as General Electric, Procter and Gamble, Schneider Electric, IBM, Nestle, General Motors, Toyota, Mitsubishi, Siemens, Volkswagen, Fiat, Nissan, Nokia, Microsoft, Samsung, Apple, Google, and many more were the flag-bearers of globalization, instrumental in deploying a variety of technologies and products worldwide, improving the quality of lives of hundreds of millions, if not billions, of people. Simultaneously, large business houses created jobs, and led the creation of wealth in their societies through shareholder value creation, or by paying taxes. India missed out on getting the benefits of a national manufacturing champion, arguably thanks to the failed experiment with state-driven socialism, but we have an opportunity to gain leadership in the future of innovation-driven enterprises. The Union government is putting together a few programmes to help support India's enterprises of the future.

There is much to criticize the multinational corporations about, such as their undesirable impacts on the environment, ecological diversity, concentration of wealth, etc. The intention of this series is not to discuss the pros and cons of the current system, but to explore the recent trends in the evolution of the business universe.

live
mint

1st March 2017

DISCUSSION ON 3rd March (Today)

For any of the large multinationals, the current structure would be along broadly similar lines: Corporate headquarters provide the backbone to individual business units, such as corporate branding, growth capital, shared knowledge of functions such as marketing and management of human resources, regulatory support, and financing of research and development of new products. Centralizing this knowledge and these functions provides economies of scale, and optimal utilization of scarce resources such as management bandwidth and cutting-edge expertise. Corporations were able to optimize this structure and expand in new regions quickly. A new business line is started or a new market is opened by some enterprising executives of the business, with the support and funding of the mothership, the corporate headquarters.

The nature of the enterprise is undergoing a tectonic shift, a 'disruption' in start-up speak. While businesses and enterprises have germinated and expanded throughout the last few hundred years, the trend of identifying fledgling businesses as 'start-ups' reflects a new world where a few entrepreneurs develop a technology, and deploy it in the market spurred on by external capital, provided by private equity/venture capital (PE/VC). As India undergoes a start-up revolution and VCs proliferate, this is the right time to examine the changing nature of the business world.

In the business world of the near future, smaller business units and start-ups, with very little in common, would be responsible for a much larger share of the 'corporate functions', while still connected to the same VCs or PE groups. These finance houses would take on a smaller than traditional role of 'corporate headquarters', allocating only capital and sometimes providing advice on market entry.

DISCUSSION ON 6th March (Monday)

Much Ado About Transient Data

Whatever the Q3 growth rate, get on with reforms

On the face of it, the Central Statistics Office's (CSO) second advance estimate of economic activity would suggest that the financial shock of removing 86% of the currency from circulation in an economy where more than 90% of transactions were in cash has not hurt economic growth. Growth in the quarter ending December, when the impact of demonetisation would have been the worst, is estimated to have been 7% and the estimate for 2016-17 as a whole is 7.1%. The robust growth in agriculture, of 6% in Q3 and 4.4% for the whole year, after two years of drought does not quite explain it: after all, agriculture, forestry and fishing account for just 15% of GDP. But there are rational explanations for this seeming mismatch between expectation and outcome.

To begin with, growth in gross value added is forecast to come down sharply from 7.8% last fiscal to 6.7% this year. Only a rise in the indirect tax burden pushes the GDP growth rate above 7%. But how could manufacturing have grown 8.3% in Q3, faster than



7.7% for the year as a whole? CSO estimates GDP using the financial results of companies and sales tax paid by traders. It is conceivable that quite a few entities declared unusual levels of income and sales, to bring hoarded cash into formal channels and, thus,

presented an inflated picture of economic activity. This bump in activity would disappear in the fourth quarter, if this were so. And the CSO figures imply precisely that: growth in Q4 is expected to turn in at 6.9%. And it is conceivable that when data are firmed up, revised estimates would bring out a different picture, of lower growth in Q3 and the year as a whole.

But how does this matter? The point about demonetisation was not that there would be no short-term pain; rather, it was justified on the expectation that once the bitter pill was swallowed, healthy recovery would follow and the economy would gallop ahead in 2017-18 and thereafter. That remains to be validated or disproved. Meanwhile, the imperatives of goods and services tax and banking reform remain unchanged.

THE ECONOMIC TIMES
2nd March 2017

Nurturing 21st century enterprises

The nature of the enterprise is undergoing a tectonic shift, a 'disruption' in start-up speak



The Union government is putting together a few programmes to help support India's enterprises of the future. Photo: Pooja Prasad/Photo

The 20th century was the era of the large corporations. It can be argued that the growth of the market economies of the West, and in recent decades the Asian Tigers and China, was closely correlated with, if not driven by, the growth of their business houses. Conglomerates such as General Electric, Procter and Gamble, Schneider Electric, IBM, Nestle, General Motors, Toyota, Mitsubishi, Siemens, Volkswagen, Fiat, Nissan, Nokia, Microsoft, Samsung, Apple, Google, and many more were the flag-bearers of globalization, instrumental in deploying a variety of technologies and products worldwide, improving the quality of lives of hundreds of millions, if not billions, of people. Simultaneously, large business houses created jobs, and led the creation of wealth in their societies through shareholder value creation, or by paying taxes. India missed out on getting the benefits of a national manufacturing champion, arguably thanks to the failed experiment with state-driven socialism, but we have an opportunity to gain leadership in the future of innovation-driven enterprises. The Union government is putting together a few programmes to help support India's enterprises of the future.

There is much to criticize the multinational corporations about, such as their undesirable impacts on the environment, ecological diversity, concentration of wealth, etc. The intention of this series is not to discuss the pros and cons of the current system, but to explore the recent trends in the evolution of the business universe.

For any of the large multinationals, the current structure would be along broadly similar lines: Corporate headquarters provide the backbone to individual business units, such as corporate branding, growth capital, shared knowledge of functions such as marketing and management of human resources, regulatory support, and financing of research and development of new products. Centralizing this knowledge and these functions provides economies of scale, and optimal utilization of scarce resources such as management bandwidth and cutting-edge expertise. Corporations were able to optimize this structure and expand in new regions quickly. A new business line is started or a new market is opened by some enterprising executives of the business, with the support and funding of the mothership, the corporate headquarters.

The nature of the enterprise is undergoing a tectonic shift, a "disruption" in start-up speak. While businesses and enterprises have germinated and expanded throughout the last few hundred years, the trend of identifying fledgling businesses as "start-ups" reflects a new world where a few entrepreneurs develop a technology, and deploy it in the market spurred on by external capital, provided by private equity/venture capital (PE/VC). As India undergoes a start-up revolution and VCs proliferate, this is the right time to examine the changing nature of the business world.

In the business world of the near future, smaller business units and start-ups, with very little in common, would be responsible for a much larger share of the "corporate functions", while still connected to the same VCs or PE groups. These finance houses would take on a smaller than traditional role of "corporate headquarters", allocating only capital and sometimes providing advice on market entry.

Nurturing 21st century enterprises

live
mint

1st March 2017

Nurturing 21st century enterprises

- The nature of the **enterprise** is undergoing a **tectonic** shift, a '**disruption**' in start-up speak
- The 20th century was the **era** of the large corporations. It can be argued that the growth of the market economies of the West, and in recent decades the Asian Tigers and China, was closely **correlated** with, if not driven by, the growth of their business houses.
- **Conglomerates** such as General Electric, Procter and Gamble, Schneider Electric, IBM, Nestlé, General Motors, Toyota, Mitsubishi, Siemens, Volkswagen, Fiat, Nissan, Nokia, Microsoft, Samsung, Apple, Google, and many more were the **flag-bearers** of globalization, **instrumental** in deploying a variety of technologies and products worldwide, improving the quality of lives of hundreds of millions, if not billions, of people.
- **Simultaneously**, large business houses created jobs, and led the creation of wealth in their societies through shareholder value creation, or by paying taxes. India missed out on getting the benefits of a national manufacturing champion, arguably thanks to the failed experiment with state-driven **socialism**, but we have an opportunity to gain leadership in the future of **innovation**-driven enterprises. The Union government is putting together a few programmes to help support India's enterprises of the future.
- There is much to criticize the multinational corporations about, such as their undesirable impacts on the **environment**, **ecological** diversity, concentration of wealth, etc.
- The intention of this series is not to discuss the **pros and cons** of the current system, but to **explore** the recent trends in the **evolution** of the business universe.
- For any of the large multinationals, the current structure would be along broadly similar lines: Corporate headquarters provide the **backbone** to individual business units, such as **corporate branding**, growth capital, shared knowledge of functions such as marketing and management of human resources, regulatory support, and financing of research and development of new products.
- Centralizing this knowledge and these functions provides **economies of scale**, and optimal utilization of **scarce** resources such as management bandwidth and **cutting-edge** expertise. Corporations were able to optimize this structure and expand in new regions quickly. A new business line is started or a new market is opened by some enterprising executives of the business, with the support and funding of the mothership, the corporate headquarters.
- The nature of the enterprise is undergoing a **tectonic** shift, a "**disruption**" in start-up speak.
- While businesses and enterprises have **germinated** and expanded throughout the last few hundred years, the trend of identifying **fledgling** businesses as "start-ups" reflects a new world where a few entrepreneurs develop a technology, and deploy it in the market **spurred** on by external capital, provided by **private equity/venture capital** (PE/VC).
- As India undergoes a start-up revolution and VCs **proliferate**, this is the right time to examine the changing nature of the business world.

Nurturing 21st century enterprises

Nurturing 21st century enterprises

The nature of the *enterprise* is undergoing a *tectonic* shift, a '*disruption*' in start-up speak

Nurture

*Startup companies
require proper **nurturing**
and for that necessary
ecosystem is required.*



Nurture

To protect someone or something especially, taking care of young children, young plants, new born enterprises

Enterprise

PUBLIC SECTOR ENTERPRISES



PRIVATE SECTOR ENTERPRISES



Enterprise

An organization, a company or a business

Tectonic

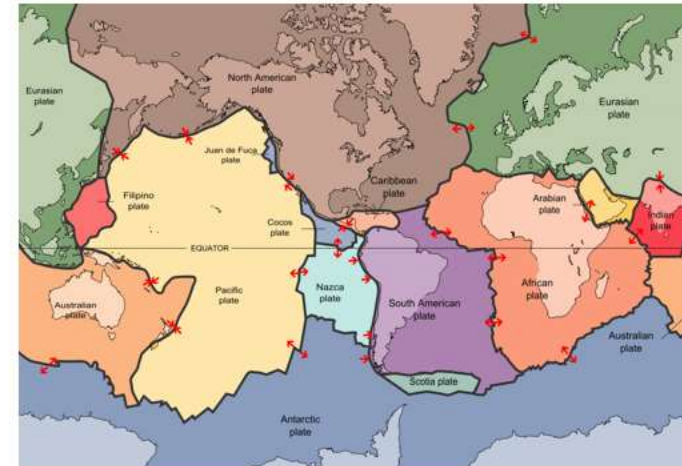


Plate *tectonics* is the scientific theory describing large scale motion of 7 large plates and movement of large number of smaller plates of the earth's lithosphere.

Tectonic

Relating to the structure of the surface of the earth

Tectonic

*The advent of information and communication technology resulted in **tectonic** shift in the education sphere across the world.*



Tectonic

A very important change that will have a major effect

Disruption



Disruption

Stopping something from continuing as usual

Nurturing 21st century enterprises

The 20th century was the **era** of the large corporations. It can be argued that the growth of the market economies of the West, and in recent decades the Asian Tigers and China, was closely **correlated** with, if not driven by, the growth of their business houses.

Era

*Most of our bureaucracy is failing in delivering duties in independent India due to hangover from the colonial **era**.*



Era

This is the period of time of which particular events / stages of development occurred

Correlation

*There is a **correlation** between women's literacy and infant mortality rate.*



Correlation

Relation between two or more things when one of them influences the other

Nurturing 21st century enterprises

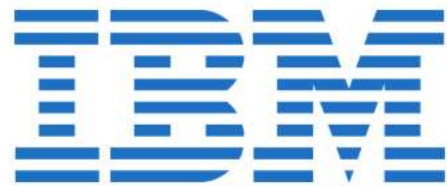
Conglomerates such as General Electric, Procter and Gamble, Schneider Electric, IBM, Nestlé, General Motors, Toyota, Mitsubishi, Siemens, Volkswagen, Fiat, Nissan, Nokia, Microsoft, Samsung, Apple, Google, and many more were the ***flag-bearers*** of globalization, ***instrumental*** in deploying a variety of technologies and products worldwide, improving the quality of lives of hundreds of millions, if not billions, of people.

Conglomerate



Conglomerate

Very large business organization, which consists of several companies that often sell different types of products or service



Flag-bearers

*The software companies
TCS, Wipro and Infosys
became the **flag-bearers**
of India's information
technology industry.*



Flag-bearers

One who openly promotes an idea or value and becomes symbolic for it

Instrumental

*Social media and subsequent demonstrations across Tamil Nadu were **instrumental** in bringing about legislation on Jallikattu.*



Instrumental

Serving as a means of pursuing an aim

LIVE

live
mint1st March 2017

Nurturing 21st century enterprises

Simultaneously, large business houses created jobs, and led the creation of wealth in their societies through shareholder value creation, or by paying taxes. India missed out on getting the benefits of a national manufacturing champion, arguably thanks to the failed experiment with state-driven **socialism**, but we have an opportunity to gain leadership in the future of **innovation**-driven enterprises. The Union government is putting together a few programmes to help support India's enterprises of the future.

Simultaneously



Simultaneously

Happening or being done at exactly the same time

Concurrently

*The two super hit movies are being telecast **concurrently** by rival TV channels.*



Concurrently

Happening or existing at the same time

SOCIALIST

- ✓ Goods to be produced based on the needs of society
- ✓ How goods are to be produced and how to distribute will be decided by the Govt.
- ✓ Red-tapism (excessive regulation, which delays the things) and corruption are the predominant drawbacks

CAPITALIST

- ✓ Based on market forces of demand and supply
- ✓ Profit is the motto
- ✓ Production will be as per demand
- ✓ It is also called laissez faire or free market economy
- ✓ It results in unequal distribution of income

MIXED

- ✓ Public sector and private sector exist side by side
- ✓ Private sector will provide goods and services it can provide, but essential goods will be provided by the State
- ✓ It aims at balanced development
- ✓ But, corruption is the biggest problem and efficiency of public enterprises is another concern



We adopted Mixed Economy

Innovative

Innovation and scientific temper must be inculcated in young minds so as to take country forward



Innovative

Using new methods or ideas

Nurturing 21st century enterprises

There is much to criticize the multinational corporations about, such as their undesirable impacts on the **environment**, **ecological** diversity, concentration of wealth, etc.

Environment



BIO-DIVERSITY

- 1 Variety and variability of life on earth.
- 2 Variability within species, between species and between ecosystem.
- 3 Measuring of variety of organisms present in different ecosystems.

Environment

Ecosystem



*Western Ghats has
got fragile
ecosystem.*

Ecosystem

All the living things in a particular area and the way they affect each other and at the same time they affect the overall environment.

Nurturing 21st century enterprises

The intention of this series is not to discuss the *pros and cons* of the current system, but to *explore* the recent trends in the *evolution* of the business universe.

Pros and Cons



*The government should look at the **pros and cons** before giving permission for industries in tribal areas.*

Pro

An advantage or a reason for doing something

Con

A disadvantage or reason for not doing something

Explore

*The best way to **explore** rural areas in India is to travel on foot.*

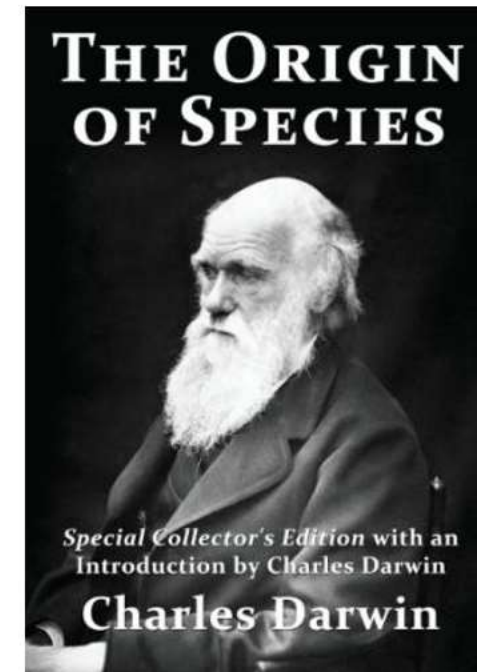


Explore

To search and discover about something

Evolution

*“The Origin of Species”,
written by Charles Darwin
made me to understand the
process of **evolution** in a
better way.*



Evolution

A gradual process of change and development

LIVE

live
mint1st March 2017

Nurturing 21st century enterprises

For any of the large multinationals, the current structure would be along broadly similar lines: Corporate headquarters provide the **backbone** to individual business units, such as **corporate branding**, growth capital, shared knowledge of functions such as marketing and management of human resources, regulatory support, and financing of research and development of new products.

Backbone

*The **backbone** of Indian manufacturing sector is informal enterprises.*



Backbone

Most important part of something

Corporate branding



Corporate branding

LIVE

live
mint1st March 2017

Nurturing 21st century enterprises

Centralizing this knowledge and these functions provides **economies of scale**, and optimal utilization of **scarce** resources such as management bandwidth and **cutting-edge** expertise. Corporations were able to optimize this structure and expand in new regions quickly. A new business line is started or a new market is opened by some enterprising executives of the business, with the support and funding of the mothership, the corporate headquarters.

Economies of scale

500 cards



Each costs Rs. 10

5,000 cards



Each costs Rs. 8

Economies of scale

Cost advantage that arises with increased output of a product

Scarce

*India should make optimum use of **scarce** resources so as to reduce poverty.*



Scarce

Not easy to find or get

Cutting-edge

*To compete globally, the Indian electronic industry must use **cutting-edge** technologies.*



Cutting-edge

Something that gives someone an advantage over others / modern and with all the latest features

Nurturing 21st century enterprises

The nature of the enterprise is undergoing a **tectonic** shift, a “**disruption**” in start-up speak.

Tectonic

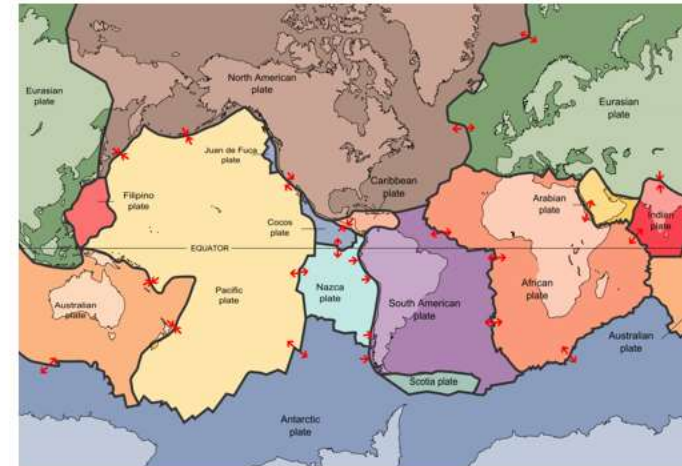


Plate *tectonics* is the scientific theory describing large scale motion of 7 large plates and movement of large number of smaller plates of the earth's lithosphere.

Tectonic

Relating to the structure of the surface of the earth

Tectonic

*The advent of information and communication technology resulted in **tectonic** shift in the education sphere across the world.*



Tectonic

A very important change that will have a major effect

Disruption



Disruption

Stopping something from continuing as usual

Nurturing 21st century enterprises

While businesses and enterprises have *germinated* and expanded throughout the last few hundred years, the trend of identifying *fledgling* businesses as “start-ups” reflects a new world where a few entrepreneurs develop a technology, and deploy it in the market *spurred* on by external capital, provided by *private equity/venture capital* (PE/VC).

Germinate



*As soon as I completed my education, an idea of starting a restaurant **germinated** in my mind.*

Germinate

To cause a seed to start growing

Germinate

To start developing

Fledgling



A young bird with grown up feathers and learning to fly

Fledgling



Because of demonetization
fledgling businesses had to close
the shop.

Fledgling

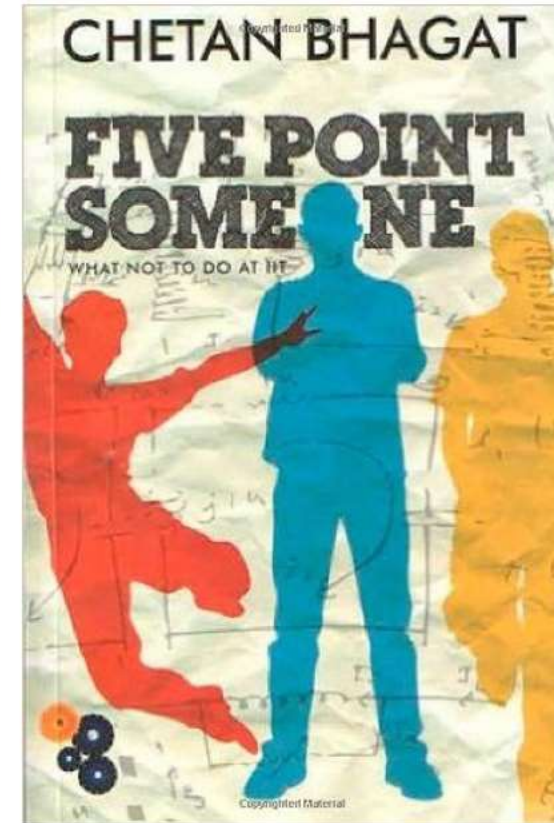
New and without
experience

Spur

***Spurred** by his early success,
Chetan Bhagat went on to write five
more novels in the subsequent
years.*



Chetan Bhagat

**Spur**

To encourage an activity

ANGEL INVESTMENT / VENTURE CAPITAL

ANGEL INVESTMENT

- *For start-ups at too early stage.*
- *Few thousands of dollars.*
- *May be from relatives & friends.*
- *Invest their own money.*
- *Emphasis is on person.*
- *In return take up equity in company.*

VENTURE CAPITAL

- *For start-ups, after assessing high growth potential.*
- *Moderate investment of at least 1 to 2 million dollars.*
- *Pooled up money from various professionally managed sources.*
- *In return, take up equity in company.*

Private equity

- 1 It is the capital that is not traded on a public exchange.
- 2 Private equity is composed of funds that directly invest in private companies.
- 3 They also purchase public companies through buyouts resulting in delisting of public equity.



Private equity

Nurturing 21st century enterprises

As India undergoes a start-up revolution and VCs *proliferate*, this is the right time to examine the changing nature of the business world.

Proliferate

In recent times, start-ups **proliferated** after the advent of information and communication technology in our country.



Proliferate

To increase a lot and suddenly in number

Much Ado About Transient Data

Whatever the Q3 growth rate, get on with reforms

On the face of it, the Central Statistics Office's (CSO) second advance estimate of economic activity would suggest that the financial shock of removing 86% of the currency from circulation in an economy where more than 90% of transactions were in cash has not hurt economic growth. Growth in the quarter ending December, when the impact of demonetisation would have been the worst, is estimated to have been 7% and the estimate for 2016-17 as a whole is 7.1%. The robust growth in agriculture, of 6% in Q3 and 4.4% for the whole year, after two years of drought does not quite explain it: after all, agriculture, forestry and fishing account for just 15% of GDP. But there are rational explanations for this seeming mismatch between expectation and outcome.

To begin with, growth in gross value added is forecast to come down sharply from 7.8% last fiscal to 6.7% this year. Only a rise in the indirect tax burden pushes the GDP growth rate above 7%. But how could manufactur-



ing have grown 8.3% in Q3, faster than 7.7% for the year as a whole? CSO estimates GDP using the financial results of companies and sales tax paid by traders. It is conceivable that quite a few entities declared unusual levels of income and sales, to bring hoarded cash into formal channels and, thus,

presented an inflated picture of economic activity. This bump in activity would disappear in the fourth quarter, if this were so. And the CSO figures imply precisely that: growth in Q4 is expected to turn in at 6.9%. And it is conceivable that when data are firmed up, revised estimates would bring out a different picture, of lower growth in Q3 and the year as a whole.

But how does this matter? The point about demonetisation was not that there would be no short-term pain; rather, it was justified on the expectation that once the bitter pill was swallowed, healthy recovery would follow and the economy would gallop ahead in 2017-18 and thereafter. That remains to be validated or disproved. Meanwhile, the imperatives of goods and services tax and banking reform remain unchanged.

DISCUSSION ON

6th Mar (Monday)

THE ECONOMIC TIMES

2nd March 2017